

— EDITION 17

The Anatomy of the 1.8-Second Authorization

When you swipe your card, a 7-step technical dance occurs across 4 entities in under two seconds. Here is where the money actually goes.

A 6-part breakdown

SWIPE >>>>

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Behind the Terminal Screen.

Every card swipe triggers an incredibly complex routing sequence across global financial data channels to securely verify, authorize, and log a transaction in real-time.

0202 / 06

Step 1-2: Merchant Gateway to Acquiring Processor.

The checkout terminal encrypts your card data, sending it to the merchant's gateway, which immediately forwards the payload to the acquiring bank's processing engine.

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Step 3-4: The Card Network Switch to the Issuer.

The acquiring processor routes the transaction across the card network (Visa/Mastercard), which instantly switches the request over to your specific issuing bank's authorization ledger.

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Step 5-6: Risk Engines, OTB Checks, and Authorization.

The issuing bank runs real-time anti-fraud scoring, confirms you have sufficient available balance, logs the authorization hold, and flashes a success message back down the channel.

0505 / 06

Where the Fees Go: Demystifying the Cut.

The standard processing fee is split: the largest chunk (interchange) goes to the issuing bank, a fixed assessment goes to the card network, and a markup goes to the merchant processor.

0606 / 06

Why This Complex Web is Ripe for Disruption.

This multi-layered legacy architecture was built for manual consumers. Programmatic software agents will heavily favor direct account-to-account (A2A) APIs that cut out intermediate fee-takers.

— THE TAKEAWAY

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